STEADY AT THE WHEEL

The FM has run a tight ship through Covid and the war in Ukraine, but sluggish disinvestment and inflation remain significant problems

By M.G. Arun

STORMS TEND TO HAVE NAMES THESE DAYS. After a bit of wavering, this one was named, simply, Covid. A monster that switched off headlights all over the world, the Modi government wasn't even a year into term two when it struck. The health emergency was so acute and all-pervasive that it became, inevitably, the defining economic event of Modi 2.0. The lockdowns shuttered all activity but for those to do with bare existence. The economy plunged into negative growth for two straight quarters in 2020: sector after sector asphyxiated. It was a complex riddle. How to ease the immediate misery? And craft policies to cure India of 'economic long Covid'? Such doom and gloom—an inertia of negative momentum—had every chance of lingering. Could one try rebounding to a better place than status quo ante? The economy, after all, had been sluggish for many pre-Covid quarters.

The Opposition and some economists pressed the Centre to loosen its purse-strings and offer cash relief to citizens, as the US and Europe were doing. Amid massive loss of life and livelihoods, it seemed the self-evident thing to do. But the Modi government went against the tide and chose instead to announce, in May 2020, the Aatmanirbhar Bharat Abhiyan—encouraging the citizenry to move towards self-reliance. Was that landscape of misery the right time and place to try and awaken the animal spirits of the nation? You could argue back and forth in hindsight, but there was no swaying the Modi regime from its avowed aim of not handing out dole. It decided to put the money—an outlay of Rs 27.1 lakh crore—into bolstering businesses and infrastructure. It preferred money to do some good hard work. Like a life-saving drug with a sustained-release mechanism, having a real cumulative impact on growth, rather than a shallow and

BOLD & BRAVE

₹10 LAKH CRORE

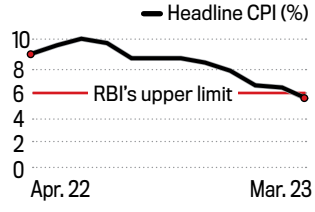
33% Rise in capex in Budget 2023

- Maintains fiscal prudence through pandemic, resists cash doles
- Rolls out PLI scheme for 14 sectors

₹108 LAKH CRORE 5-yr commitment for National Infrastructure Pipeline up to 2025

BUT...

RUNAWAY INFLATION



Inflation breached the RBI-set limit of 6% for 10 months of FY23

₹50,000 cr. divestment target for FY23

30 PER CENT The shortfall

₹35,294 cr. (divestment receipts)